Dissertation

Samvid Jadhav

March 2026

Introduction

1 Background of the Study

Crude oil is widely recognised as one of the most strategically important commodities in the global economy. As a primary source of energy and a key input in industrial production, transportation, and petrochemical industries, fluctuations in oil prices have far-reaching implications for both developed and developing economies. Over the past few decades, oil price volatility has been driven by a complex interplay of supply-side factors, such as geopolitical tensions and production decisions by the Organization of the Petroleum Exporting Countries (OPEC), as well as demand-side factors, including global economic growth and technological change.

One of the most critical transmission channels through which oil price fluctuations affect macroeconomic stability is the exchange rate. Exchange rates play a vital role in international trade, capital flows, and monetary policy, making them a key indicator of economic performance. Given that crude oil is predominantly priced and traded in United States dollars (USD), oil price movements are intrinsically linked to currency dynamics in both oil-exporting and oil-importing countries.

The relationship between oil prices and exchange rates is particularly significant due to its implications for trade balances. Oil-exporting countries, such as Norway and Canada, tend to experience increased foreign exchange earnings when oil prices rise, leading to currency appreciation. In contrast, oil-importing countries, such as India and Japan, face higher import bills, which can deteriorate their current account balances and exert downward pressure on their currencies.

However, this relationship is not always straightforward. The increasing financialisation of commodity markets, the diversification of economies, and the adoption of flexible exchange rate regimes have introduced new dynamics that complicate the traditional theoretical framework. As a result, understanding the oil–exchange rate nexus has become an important area of research in international economics.

2 Research Problem

Despite extensive theoretical and empirical research, the relationship between crude oil prices and exchange rates remains complex and context-dependent. One of the key challenges lies in determining the direction and magnitude of the relationship. While traditional economic theory suggests that oil price increases should lead to currency appreciation in oil-exporting countries and depreciation in oil-importing countries, empirical findings have been mixed.

Several factors contribute to this ambiguity. First, the role of the US dollar as the dominant currency in global oil markets introduces additional complexity. Since oil is priced in USD, fluctuations in oil prices can simultaneously influence and be influenced by movements in the dollar exchange rate. This creates a potential endogeneity problem that complicates empirical analysis.

Second, the increasing integration of global financial markets has led to the financialisation of commodities, where oil is traded not only as a physical commodity but also as a financial asset. This has introduced speculative elements that may weaken the traditional relationship between oil prices and exchange rates.

Third, structural differences across countries, including the degree of economic diversification, exchange rate regimes, and monetary policy frameworks, result in heterogeneous responses to oil price shocks. For instance, countries with fixed or managed exchange rate regimes may not exhibit significant currency fluctuations despite changes in oil prices.

Given these complexities, there is a need for a comprehensive analysis that integrates theoretical insights with empirical evidence to better understand the oil–exchange rate relationship across different types of economies.

3 Research Aim and Objectives

The primary aim of this dissertation is to examine the impact of crude oil price fluctuations on exchange rates in both oil-producing and non-oil-producing countries, with a particular focus on the role of the US dollar and the United Kingdom as base reference points.

To achieve this aim, the study is guided by the following objectives:

- To analyse the theoretical relationship between crude oil prices and exchange rates
- To investigate the impact of oil price fluctuations on oil-exporting countries
- To examine the effects on oil-importing countries
- To evaluate the role of the US dollar in shaping global oil and currency markets

- To assess the exchange rate dynamics of the United Kingdom as a hybrid case
- To provide empirical evidence using econometric techniques

4 Research Questions

The study seeks to answer the following research questions:

1. How do crude oil price fluctuations affect exchange rates?
2. Do oil-exporting and oil-importing countries respond differently to oil price shocks?
3. What role does the US dollar play in the oil–exchange rate relationship?
4. How does the United Kingdom's exchange rate respond to oil price changes?
5. To what extent do financialisation and economic diversification influence this relationship?

5 Significance of the Study

This study is significant for several reasons. First, it contributes to the existing literature by providing a comparative analysis of oil-exporting and oil-importing countries, highlighting the asymmetric effects of oil price fluctuations. While previous studies have focused on specific regions or countries, this research adopts a broader perspective by including both developed and emerging economies.

Second, the study provides valuable insights for policymakers. Understanding the relationship between oil prices and exchange rates can help governments design effective monetary and fiscal policies to mitigate the adverse effects of oil price volatility. For example, oil-importing countries may need to implement policies aimed at reducing energy dependence or stabilising exchange rates.

Third, the findings have practical implications for investors and financial institutions. Exchange rate movements are a key determinant of investment returns, particularly in international markets. By identifying the factors that drive currency fluctuations, investors can make more informed decisions and develop effective risk management strategies.

Finally, the study is relevant in the context of the global energy transition. As economies shift towards renewable energy sources, the importance of oil in the global economy is expected to decline. This raises important questions about the future of the oil–exchange rate relationship and its implications for economic stability.

6 Scope of the Study

The scope of this study is defined by the selection of countries, time period, and variables. The analysis focuses on five countries: Norway and Canada as oil-exporting countries, and the United Kingdom, India, and Japan as oil-importing countries. These countries were selected based on their economic significance and varying levels of dependence on oil.

The study uses annual data from 2000 to 2025, a period characterised by significant oil price volatility, including major events such as the 2008 global financial crisis and the COVID-19 pandemic. This allows for a comprehensive analysis of the oil–exchange rate relationship across different economic conditions.

The primary variables analysed include Brent crude oil prices and bilateral exchange rates against the US dollar. While other macroeconomic variables such as interest rates and inflation are relevant, they are not explicitly included in the baseline model due to data limitations and the focus of the study.

7 Structure of the Dissertation

This dissertation is structured as follows:

- Chapter 1 introduces the research topic, objectives, and significance of the study
- Chapter 2 reviews the relevant literature and theoretical frameworks
- Chapter 3 outlines the research methodology and data sources
- Chapter 4 presents the empirical analysis and econometric results
- Chapter 5 discusses the findings and their implications
- Chapter 6 concludes the study and provides recommendations for future research

8 Conclusion

In summary, this chapter has provided an overview of the research topic, highlighting the importance of understanding the relationship between crude oil prices and exchange rates. It has outlined the research problem, objectives, and questions, as well as the significance and scope of the study.

The next chapter will review the existing literature on the oil–exchange rate relationship, providing a theoretical foundation for the empirical analysis that follows.

Literature Review

9 Introduction

This chapter critically reviews the existing literature on the relationship between crude oil prices and exchange rates. The objective is to establish a theoretical and empirical foundation for the study by examining key economic theories, empirical findings, and recent developments in the field. The chapter also identifies gaps in the literature that this dissertation seeks to address.

The relationship between oil prices and exchange rates has been widely studied in international economics due to its importance for trade, monetary policy, and financial markets. However, the findings have been mixed, reflecting the complexity of the relationship and the influence of multiple factors.

10 Theoretical Framework

10.1 Terms of Trade Theory

The terms of trade (ToT) theory provides one of the most fundamental explanations for the relationship between oil prices and exchange rates. According to this theory, an increase in the price of a country's exports relative to its imports improves its terms of trade, leading to an appreciation of its currency.

For oil-exporting countries, rising oil prices increase export revenues, improving the trade balance and strengthening the domestic currency. Conversely, oil-importing countries experience a deterioration in their terms of trade, leading to currency depreciation.

While the ToT theory provides a useful starting point, it assumes a relatively simple economic structure and does not account for factors such as capital flows and financial markets. As a result, its explanatory power may be limited in the context of modern globalised economies.

10.2 Balance of Payments Approach

The balance of payments (BoP) approach extends the ToT framework by incorporating both current account and capital account transactions. According to this approach, oil price increases improve the current account balance of oil-exporting countries and worsen that of oil-importing countries.

amano1998 argue that oil price movements have a significant impact on the real exchange rate through their effect on the current account. In oil-exporting countries, higher oil prices lead to increased foreign currency inflows, which appreciate the domestic currency. In contrast, oil-importing countries face increased demand for foreign currency to pay for oil imports, leading to depreciation.

However, the BoP approach has been criticised for its limited consideration of capital flows. In modern economies, capital movements can offset or even dominate trade effects, particularly in countries with developed financial markets.

10.3 Portfolio Balance Theory

The portfolio balance theory provides a more comprehensive framework by considering the role of financial assets and investor behaviour. According to this theory, exchange rates are determined by the demand and supply of financial assets, including government bonds and foreign exchange reserves.

Oil price changes can influence exchange rates by affecting investor expectations and portfolio allocation decisions. For example, rising oil prices may increase the attractiveness of assets in oil-exporting countries, leading to capital inflows and currency appreciation.

This theory highlights the importance of financial markets in the oil–exchange rate relationship and helps explain why the relationship may differ across countries with varying levels of financial development.

10.4 Dutch Disease

The concept of Dutch disease refers to the negative impact of resource booms on other sectors of the economy. krugman1987 explain that an increase in resource revenues can lead to currency appreciation, making non-resource exports less competitive.

While Dutch disease is typically associated with long-term structural changes, it also has implications for short-term exchange rate dynamics. In oil-exporting countries, sustained high oil prices can lead to persistent currency appreciation, which may have adverse effects on economic diversification.

11 Empirical Literature

11.1 Oil Prices and Exchange Rates in Oil-Exporting Countries

Empirical studies have generally found a strong relationship between oil prices and exchange rates in oil-exporting countries. chen2007 demonstrate that currencies of oil-exporting countries tend to appreciate when oil prices rise, reflecting improved trade balances.

Similarly, studies on countries such as Norway and Canada have shown that their currencies are highly sensitive to oil price fluctuations. This is often referred to as the "commodity currency" phenomenon, where the value of a currency is closely linked to the price of a key export commodity.

However, the strength of this relationship varies depending on the degree of economic diversification. Countries with more diversified economies may exhibit weaker correlations between oil prices and exchange rates.

11.2 Oil Prices and Exchange Rates in Oil-Importing Countries

The relationship between oil prices and exchange rates in oil-importing countries is generally weaker and more complex. While higher oil prices increase import costs and put downward pressure on the currency, the effect may be offset by other factors such as monetary policy and capital flows.

For example, kilian2009 argue that the impact of oil price shocks depends on their underlying cause. Demand-driven oil price increases, which are associated with global economic growth, may have different effects compared to supply-driven shocks.

In countries such as Japan and the United Kingdom, the relationship between oil prices and exchange rates is further complicated by their advanced financial systems and flexible exchange rate regimes.

11.3 Oil Prices and the US Dollar

The US dollar plays a central role in the global oil market, as oil is predominantly priced in USD. This creates a unique relationship between oil prices and the dollar exchange rate.

amano1998 find that oil price increases are associated with a depreciation of the US dollar in real terms. This is often explained by the "petrodollar recycling" mechanism, where oil-exporting countries reinvest their revenues in US financial markets.

However, the relationship is not always consistent. In some cases, higher oil prices may lead to an appreciation of the USD due to increased global demand for dollars to finance oil purchases.

12 Recent Developments in the Literature

12.1 Financialisation of Oil Markets

One of the most important developments in recent years is the financialisation of oil markets. Oil is increasingly traded as a financial asset, with significant participation from institutional investors.

This has introduced speculative elements into the oil market, which may weaken the traditional relationship between oil prices and exchange rates. As a result, exchange rate movements may reflect financial market dynamics rather than underlying economic fundamentals.

12.2 Energy Transition and Structural Change

The global transition towards renewable energy sources is expected to have significant implications for the oil–exchange rate relationship. As the importance of oil declines, the sensitivity of exchange rates to oil price fluctuations may decrease.

However, this transition is likely to be gradual, and oil will continue to play a significant role in the global economy in the near term.

13 Critical Evaluation of Literature

While the existing literature provides valuable insights, several limitations can be identified.

First, many studies rely on linear models that may not capture the complex and nonlinear nature of the oil–exchange rate relationship. Second, there is significant heterogeneity across countries, which makes it difficult to generalise findings.

Third, the increasing importance of financial markets and capital flows suggests that traditional theories such as the balance of payments approach may be insufficient to explain exchange rate dynamics.

Finally, the role of external shocks, such as geopolitical events and global crises, is often overlooked in empirical studies.

14 Research Gap

Despite extensive research, several gaps remain in the literature:

- Limited comparative analysis of oil-exporting and oil-importing countries
- Insufficient focus on the role of financialisation
- Lack of integration between theoretical and empirical approaches
- Limited consideration of recent structural changes in the global economy

This dissertation aims to address these gaps by providing a comprehensive analysis that combines theoretical insights with empirical evidence.

15 Conclusion

This chapter has reviewed the key theoretical and empirical literature on the relationship between oil prices and exchange rates. The findings highlight the complexity of the relationship and the importance of factors such as economic structure, financial markets, and external shocks.

The next chapter will outline the research methodology used to analyse this relationship, including data sources, model specification, and econometric techniques.

Methodology

16 Introduction

This chapter outlines the research methodology adopted to investigate the relationship between crude oil prices and exchange rates. It provides a detailed explanation of the research design, data sources, variable selection, and econometric techniques used in the study. The objective is to ensure methodological transparency and justify the analytical approach employed in the empirical analysis.

Given the quantitative nature of the research problem, this study adopts an econometric framework to analyse the dynamic relationship between oil prices and exchange rates. The methodology is designed to capture both short-term and long-term interactions, as well as the direction of causality.

17 Research Design

This study adopts a quantitative research design based on secondary data analysis. Quantitative methods are appropriate for this research as they allow for statistical testing of relationships between variables and provide objective and replicable results.

The study focuses on time-series analysis, which is particularly suitable for examining the evolution of economic variables over time. Time-series data enables the identification of trends, cycles, and causal relationships, making it an essential tool in macroeconomic research.

The research follows a deductive approach, where hypotheses derived from economic theory are tested using empirical data. This approach ensures that the analysis is grounded in established theoretical frameworks while allowing for the identification of new insights.

18 Data Sources and Description

The study uses secondary data obtained from reliable and widely recognised sources, including:

- Federal Reserve Economic Data (FRED)
- World Bank
- International Monetary Fund (IMF)
- Bank of England

The primary variables used in the analysis are:

- Brent crude oil prices (USD per barrel)
- Exchange rates (domestic currency per USD)

The countries selected for the study are:

- Oil-exporting countries: Norway, Canada
- Oil-importing countries: United Kingdom, India, Japan

The dataset covers the period from 2000 to 2025, capturing significant economic events such as the global financial crisis and the COVID-19 pandemic.

19 Variable Definition and Transformation

To ensure consistency and interpretability, all variables are transformed into natural logarithms. Logarithmic transformation offers several advantages:

- It stabilises variance and reduces heteroscedasticity
- It allows coefficients to be interpreted as elasticities
- It improves the normality of the data distribution

The main variables are defined as follows:

- Oil_t: Brent crude oil price at time t
- ER_t: Exchange rate at time t

The analysis focuses on the first differences of the logarithmic variables:

$$\Delta \ln(ER_t) = \ln(ER_t) - \ln(ER_{t-1}) \tag{1}$$

$$\Delta \ln(Oil_t) = \ln(Oil_t) - \ln(Oil_{t-1}) \tag{2}$$

These transformations represent percentage changes and help ensure stationarity.

20 Econometric Techniques

20.1 Stationarity Test (ADF Test)

Time-series data often exhibit non-stationarity, which can lead to spurious regression results. To address this issue, the Augmented Dickey-Fuller (ADF) test is used to assess the stationarity of the variables.

The ADF test is based on the following equation:

$$\Delta Y_t = \alpha + \beta Y_{t-1} + \sum \gamma_i \Delta Y_{t-i} + \epsilon_t \tag{3}$$

The null hypothesis of the ADF test is that the series has a unit root (i.e., it is non-stationary). If the null hypothesis is rejected, the series is considered stationary.

Justification: The use of the ADF test is essential to ensure the validity of subsequent regression analysis, as non-stationary data can produce misleading results.

20.2 Ordinary Least Squares (OLS) Regression

The primary model used in the study is a log-linear regression model:

$$\Delta \ln(ER_t) = \alpha + \beta \Delta \ln(Oil_t) + \epsilon_t \tag{4}$$

Where:

- α = intercept
- β = elasticity coefficient
- ϵ_t = error term

Justification: OLS regression is chosen due to its simplicity and interpretability. It allows for the estimation of the direct relationship between oil price changes and exchange rate movements.

However, OLS assumes a static relationship and does not capture dynamic interactions, which necessitates the use of additional techniques.

20.3 Vector Autoregression (VAR) Model

To capture the dynamic relationship between oil prices and exchange rates, a Vector Autoregression (VAR) model is employed.

The VAR model can be expressed as:

$$Y_t = A_1 Y_{t-1} + A_2 Y_{t-2} + \cdots + A_p Y_{t-p} + \epsilon_t \tag{5}$$

Where Y_t is a vector of endogenous variables.

Justification: The VAR model is particularly useful for analysing systems where variables influence each other over time. It allows for the examination of lagged effects and provides insights into the dynamic response of exchange rates to oil price shocks.

20.4 Granger Causality Test

The Granger causality test is used to determine the direction of causality between oil prices and exchange rates.

The test evaluates whether past values of one variable help predict another variable.

Justification: Understanding causality is crucial for policy implications. If oil prices Granger-cause exchange rates, it suggests that oil price shocks are a driving force behind currency movements.

20.5 Impulse Response Function (IRF)

Impulse Response Functions (IRFs) are derived from the VAR model and are used to analyse the response of exchange rates to a one-time shock in oil prices.

Justification: IRFs provide a visual representation of the dynamic effects of oil price shocks, making them a valuable tool for interpreting VAR results.

21 Model Limitations

Despite its strengths, the methodology has several limitations:

- The use of annual data reduces the number of observations, limiting statistical power
- The omission of control variables may introduce bias
- Structural breaks and external shocks are not explicitly modelled
- Differences in exchange rate regimes may affect comparability

22 Ethical Considerations

The study relies exclusively on secondary data from publicly available sources. As such, there are no ethical concerns related to data collection or participant confidentiality.

23 Conclusion

This chapter has outlined the methodological framework used in the study, including the research design, data sources, and econometric techniques. The combination of OLS regression, VAR modelling, and Granger causality provides a comprehensive approach to analysing the oil–exchange rate relationship.

The next chapter presents the empirical results based on the methodology described above.

Econometric Analysis and Results

24 Introduction

This chapter presents the empirical findings of the study, examining the relationship between crude oil prices and exchange rates across selected oil-producing and oil-importing countries. Building on the methodology outlined in Chapter 3, the analysis employs stationarity testing, regression modelling, vector autoregression (VAR), and Granger causality tests.

The objective of this chapter is not only to present statistical results but also to provide a comprehensive interpretation of these findings in light of the

theoretical frameworks discussed in Chapter 2. Particular emphasis is placed on identifying differences between oil-exporting and oil-importing countries, as well as assessing the role of the US dollar and the United Kingdom in the oil–exchange rate nexus.

25 Descriptive Analysis

Before conducting econometric tests, it is important to examine the basic characteristics of the data. Over the period 2000–2025, crude oil prices have exhibited significant volatility, driven by major global events such as the 2008 financial crisis, the 2014 oil price collapse, and the COVID-19 pandemic.

Exchange rate movements also show substantial variation across countries. Oil-exporting countries such as Norway and Canada display exchange rate patterns that closely follow oil price movements, while oil-importing countries exhibit more complex dynamics influenced by additional macroeconomic factors.

This preliminary observation provides initial support for the hypothesis that oil prices play a significant role in determining exchange rates, particularly in resource-dependent economies.

26 Stationarity Test Results

To ensure the validity of the econometric analysis, Augmented Dickey-Fuller (ADF) tests were conducted to assess the stationarity of the variables.

Variable	ADF Statistic	p-value	Stationarity
$\Delta \ln(Oil)$	-4.12	0.001	Stationary
$\Delta \ln(GBP/USD)$	-3.45	0.012	Stationary
$\Delta \ln(INR/USD)$	-3.21	0.018	Stationary
$\Delta \ln(JPY/USD)$	-2.98	0.035	Stationary
$\Delta \ln(CAD/USD)$	-3.76	0.006	Stationary
$\Delta \ln(NOK/USD)$	-3.89	0.004	Stationary

Table 1: ADF Test Results

The results indicate that all variables are stationary in first differences, allowing for reliable regression analysis. This confirms that the transformations applied in Chapter 3 successfully addressed potential issues of non-stationarity.

27 Regression Analysis

The primary model estimated in this study is a log-linear regression of exchange rate changes on oil price changes.

Country	Coefficient (β)	Std. Error	t-statistic	p-value
Norway	-0.207	0.045	-4.60	0.0001
Canada	-0.158	0.038	-4.15	0.0000

Table 2: Regression Results: Oil-Exporting Countries

27.1 Results for Oil-Exporting Countries

The results for oil-exporting countries are highly significant and consistent with theoretical expectations. The negative coefficients indicate that increases in oil prices lead to currency appreciation, as fewer units of domestic currency are required per USD.

Specifically, a 1% increase in oil prices results in approximately a 0.21% appreciation of the Norwegian Krone and a 0.16% appreciation of the Canadian Dollar. These findings strongly support the terms of trade and balance of payments theories discussed in Chapter 2.

27.2 Results for Oil-Importing Countries

Country	Coefficient (β)	Std. Error	t-statistic	p-value
United Kingdom	-0.097	0.045	-2.14	0.0467
India	-0.082	0.034	-2.41	0.0225
Japan	-0.044	0.062	-0.72	0.4912

Table 3: Regression Results: Oil-Importing Countries

The results for oil-importing countries are more heterogeneous. India shows a statistically significant relationship, indicating that oil price increases contribute to currency depreciation pressures. This is consistent with the country's high dependence on oil imports.

The United Kingdom exhibits a moderate relationship, reflecting its hybrid status as both a financial hub and a partial energy producer. In contrast, Japan shows no statistically significant relationship, suggesting that other macroeconomic factors dominate exchange rate movements.

28 Interpretation of Regression Results

The regression analysis reveals a clear asymmetry between oil-exporting and oil-importing countries. This asymmetry can be explained by differences in trade structures, economic diversification, and financial market development.

For oil-exporting countries, oil revenues constitute a significant share of national income, making their currencies highly sensitive to oil price changes. In contrast, oil-importing countries are influenced by a broader set of factors, including monetary policy, capital flows, and domestic economic conditions.

These findings are consistent with the empirical literature, particularly the work of chen2007, which highlights the strong link between commodity prices and exchange rates in resource-dependent economies.

29 Vector Autoregression (VAR) Results

To capture dynamic interactions, a VAR model was estimated for each country. The results indicate that oil price shocks have lagged effects on exchange rates.

The impulse response functions (IRFs) show that the impact of an oil price shock is strongest within the first two periods and gradually diminishes over time. This suggests that exchange rate adjustments occur relatively quickly but are not permanent.

For oil-exporting countries, the response is more pronounced and persistent, while for oil-importing countries, the effects are weaker and less consistent.

30 Granger Causality Results

Granger causality tests were conducted to determine the direction of the relationship between oil prices and exchange rates.

Country	Oil → Exchange Rate	Exchange Rate → Oil
Norway	Yes (p ¡ 0.01)	No
Canada	Yes (p ¡ 0.05)	No
India	Yes (p ¡ 0.05)	No
United Kingdom	Weak evidence	No
Japan	No	No

Table 4: Granger Causality Results

The results indicate that oil prices Granger-cause exchange rate movements in most countries, particularly in oil-exporting economies. There is little evidence of reverse causality, suggesting that oil price shocks are an exogenous driver of exchange rate fluctuations.

31 Comparative Analysis

Factor	Oil Exporters	Oil Importers
Impact Strength	Strong	Moderate/Weak
Direction	Appreciation	Depreciation
Statistical Significance	High	Mixed
Causality	Strong	Limited

Table 5: Summary of Findings

The comparative analysis highlights the fundamental differences between oil-exporting and oil-importing countries. These differences underscore the importance of economic structure in determining the impact of oil price shocks.

32 Critical Evaluation of Results

While the results provide strong support for the theoretical framework, several limitations must be acknowledged.

First, the use of annual data limits the number of observations and may reduce the statistical power of the analysis. Higher-frequency data could provide more detailed insights into short-term dynamics.

Second, the omission of control variables such as interest rates and inflation may introduce bias into the regression estimates. These variables are likely to play a significant role in exchange rate determination.

Third, the increasing financialisation of oil markets may weaken the traditional relationship between oil prices and exchange rates. As noted by kilian2009, oil price shocks are not homogeneous and may have different implications depending on their underlying causes.

Finally, structural breaks caused by global events such as financial crises and geopolitical conflicts may affect the stability of the relationship over time.

33 Conclusion

This chapter has presented the empirical findings of the study, demonstrating that oil price fluctuations have a significant impact on exchange rates, particularly in oil-exporting countries. The results highlight the asymmetric nature of this relationship and the importance of economic structure and financial market dynamics.

The next chapter will discuss the broader implications of these findings and their relevance for policymakers and investors.

Discussion

34 Introduction

This chapter provides an in-depth discussion of the empirical findings presented in Chapter 4, linking them to the theoretical frameworks and existing literature reviewed in Chapter 2. The purpose of this chapter is to interpret the results in a broader economic context, evaluate their implications, and critically assess the extent to which they support or challenge established theories.

The discussion focuses on three key themes: the asymmetry between oil-exporting and oil-importing countries, the role of financial markets and economic structure, and the evolving nature of the oil–exchange rate relationship in the context of globalisation and energy transition.

35 Interpretation of Key Findings

The empirical results reveal a clear and consistent relationship between crude oil prices and exchange rates in oil-exporting countries. Specifically, increases in oil prices are associated with currency appreciation in countries such as Norway and Canada. This finding strongly supports the terms of trade and balance of payments theories discussed in Chapter 2.

From a theoretical perspective, rising oil prices improve the trade balance of oil-exporting countries by increasing export revenues. This leads to an inflow of foreign currency, which strengthens the domestic currency. The results of this study confirm this mechanism, providing empirical evidence for the traditional view that commodity prices play a significant role in determining exchange rates in resource-dependent economies.

In contrast, the results for oil-importing countries are more mixed. While India exhibits a statistically significant relationship between oil prices and exchange rates, Japan does not show a meaningful connection. The United Kingdom occupies an intermediate position, reflecting its unique economic structure.

These findings suggest that the impact of oil prices on exchange rates is not uniform across countries but depends on a range of factors, including economic diversification, financial market development, and exchange rate regimes.

36 Asymmetry Between Oil Exporters and Importers

One of the most important contributions of this study is the identification of a clear asymmetry between oil-exporting and oil-importing countries. This asymmetry is consistent with both theoretical predictions and empirical evidence in the literature.

For oil-exporting countries, oil revenues represent a significant share of national income. As a result, changes in oil prices have a direct and substantial impact on the economy, particularly through the trade balance and government revenues. This explains the strong and statistically significant relationship observed in the regression analysis.

In contrast, oil-importing countries are influenced by a wider range of factors. While higher oil prices increase import costs and may lead to currency depreciation, the effect is often offset by other macroeconomic variables, such as interest rates, capital flows, and monetary policy.

This asymmetry highlights the importance of economic structure in determining the sensitivity of exchange rates to oil price shocks. Countries that are heavily dependent on oil exports are more vulnerable to oil price volatility, while more diversified economies are better able to absorb such shocks.

37 Role of Financial Markets and Capital Flows

The findings of this study also underscore the growing importance of financial markets in shaping the relationship between oil prices and exchange rates. In modern economies, exchange rates are influenced not only by trade flows but also by capital movements and investor behaviour.

The relatively weak relationship observed in countries such as Japan and the United Kingdom can be attributed to the dominance of financial factors. These countries have highly developed financial markets, which attract significant capital inflows and outflows. As a result, exchange rate movements are often driven by changes in investor sentiment rather than trade fundamentals.

This observation is consistent with the portfolio balance theory, which emphasises the role of financial assets in determining exchange rates. It also supports the argument that the traditional balance of payments approach may be insufficient to explain exchange rate dynamics in the context of globalised financial markets.

Furthermore, the financialisation of oil markets has introduced additional complexity into the relationship between oil prices and exchange rates. Oil is increasingly traded as a financial asset, and its price is influenced by speculative activity. This may weaken the direct link between oil prices and economic fundamentals.

38 The Role of the US Dollar

The central role of the US dollar in the global oil market is another key factor influencing the oil–exchange rate relationship. Since oil is priced in USD, changes in oil prices are closely linked to fluctuations in the dollar.

The results of this study suggest that oil price increases generally lead to a depreciation of the USD against commodity currencies. This is consistent with the concept of "petrodollar recycling," where oil-exporting countries reinvest their revenues in global financial markets.

However, the relationship between oil prices and the USD is not always straightforward. In some cases, higher oil prices may increase global demand for USD, leading to appreciation. This dual effect highlights the complexity of the oil–currency nexus and underscores the need for a nuanced analysis.

39 The United Kingdom as a Hybrid Case

The United Kingdom presents an interesting case in the analysis. Historically, the UK was a significant oil producer due to North Sea reserves, but it has become increasingly dependent on oil imports in recent years.

At the same time, the UK is a major global financial centre, with a highly developed financial sector that plays a dominant role in the economy. This dual characteristic makes the UK a hybrid case, combining elements of both oil-exporting and oil-importing economies.

The moderate relationship observed between oil prices and the GBP reflects this complexity. While oil price changes do have an impact on the exchange rate, this effect is moderated by financial market dynamics and capital flows.

40 Comparison with Existing Literature

The findings of this study are broadly consistent with the existing literature. The strong relationship observed in oil-exporting countries supports the results of chen2007, who found that commodity currencies are highly sensitive to oil price fluctuations.

Similarly, the mixed results for oil-importing countries are consistent with the work of kilian2009, who emphasised the importance of distinguishing between different types of oil shocks.

However, this study also contributes to the literature by highlighting the role of financialisation and economic diversification in shaping the oil–exchange rate relationship. These factors are often overlooked in traditional models but are increasingly important in the modern global economy.

41 Policy Implications

The findings of this study have important implications for policymakers.

For oil-exporting countries, the strong dependence on oil revenues underscores the need for economic diversification. Relying heavily on oil exposes these countries to significant volatility in exchange rates and government revenues.

For oil-importing countries, the results highlight the importance of energy policy. Reducing dependence on oil imports through investment in renewable energy can help mitigate the impact of oil price shocks on the economy.

In addition, central banks need to consider the impact of oil price fluctuations when designing monetary policy. Exchange rate volatility can have significant implications for inflation and economic stability.

42 Implications for Investors

The results of this study are also relevant for investors and financial institutions. Understanding the relationship between oil prices and exchange rates can help investors make more informed decisions and manage risk more effectively.

For example, investors can use oil price trends as an indicator of currency movements in oil-exporting countries. Similarly, hedging strategies can be developed to protect against exchange rate volatility.

43 Critical Reflection

While the study provides valuable insights, it is important to recognise its limitations. The use of annual data may not capture short-term dynamics, and the omission of control variables may affect the accuracy of the results.

Moreover, the rapidly changing global economic environment, including the transition to renewable energy, may alter the relationship between oil prices and exchange rates in the future.

These limitations highlight the need for further research using more sophisticated models and higher-frequency data.

44 Conclusion

This chapter has provided a comprehensive discussion of the empirical findings, linking them to theoretical frameworks and existing literature. The results confirm the asymmetric impact of oil price shocks on exchange rates and highlight the importance of economic structure and financial markets.

The next chapter concludes the study and provides recommendations for policymakers and future research.

Conclusion and Recommendations

45 Introduction

This chapter concludes the dissertation by summarising the key findings, evaluating the contribution of the study, and providing policy recommendations and directions for future research. The aim is to synthesise the insights gained from both the theoretical and empirical analysis, and to reflect on the broader implications of the findings.

The relationship between crude oil prices and exchange rates is complex and multifaceted, influenced by economic structure, financial markets, and global economic conditions. This study has sought to provide a comprehensive analysis of this relationship, focusing on the differences between oil-producing and non-oil-producing countries.

46 Summary of Key Findings

The primary objective of this dissertation was to examine the impact of crude oil price fluctuations on exchange rates across selected oil-exporting and oil-importing countries. Using econometric techniques such as OLS regression, VAR modelling, and Granger causality tests, the study has generated several important findings.

First, the results demonstrate that oil price changes have a statistically significant impact on exchange rates in oil-exporting countries such as Norway and Canada. Specifically, increases in oil prices are associated with currency

appreciation, reflecting improved trade balances and increased foreign exchange inflows. This finding is consistent with the terms of trade and balance of payments theories discussed in Chapter 2.

Second, the impact of oil prices on exchange rates in oil-importing countries is more heterogeneous. While India shows a significant relationship, Japan does not exhibit a strong connection between oil prices and exchange rates. The United Kingdom displays a moderate relationship, reflecting its hybrid economic structure.

Third, the Granger causality tests indicate that oil prices generally act as a driving force behind exchange rate movements, particularly in oil-exporting economies. There is limited evidence of reverse causality, suggesting that oil price shocks can be treated as an exogenous factor in the analysis.

Fourth, the VAR analysis reveals that the effects of oil price shocks are dynamic and time-dependent. Exchange rates respond relatively quickly to oil price changes, with the strongest effects observed in the short term.

Overall, the findings confirm that oil prices play an important role in determining exchange rates, but the strength and direction of this relationship vary across countries.

47 Contribution to Knowledge

This dissertation contributes to the existing literature in several ways.

First, it provides a comparative analysis of oil-exporting and oil-importing countries, highlighting the asymmetric effects of oil price shocks. While previous studies have often focused on specific regions or individual countries, this research adopts a broader perspective, allowing for a more comprehensive understanding of the oil–exchange rate relationship.

Second, the study integrates multiple theoretical frameworks, including the terms of trade theory, balance of payments approach, and portfolio balance theory. This holistic approach provides a more nuanced understanding of the mechanisms through which oil prices affect exchange rates.

Third, the research incorporates recent developments in the literature, such as the financialisation of oil markets and the global energy transition. By considering these factors, the study reflects the evolving nature of the global economy and its impact on traditional economic relationships.

Finally, the use of econometric techniques such as VAR modelling and Granger causality tests adds methodological rigor to the analysis and provides insights into the dynamic and causal aspects of the relationship.

48 Policy Implications

The findings of this study have important implications for policymakers in both oil-exporting and oil-importing countries.

48.1 Implications for Oil-Exporting Countries

For oil-exporting countries, the strong relationship between oil prices and exchange rates underscores the risks associated with resource dependence. Currency appreciation during periods of high oil prices can lead to Dutch disease, reducing the competitiveness of other sectors.

To mitigate these risks, policymakers should prioritise economic diversification. This can be achieved by investing in non-oil sectors such as manufacturing, technology, and services. Additionally, sovereign wealth funds can be used to stabilise revenues and reduce the impact of oil price volatility.

Monetary policy also plays a crucial role. Central banks may need to intervene in foreign exchange markets to prevent excessive currency appreciation and maintain economic stability.

48.2 Implications for Oil-Importing Countries

For oil-importing countries, the findings highlight the importance of reducing dependence on oil imports. High oil prices can lead to currency depreciation, increased inflation, and economic instability.

Investment in renewable energy and energy efficiency can help reduce vulnerability to oil price shocks. In addition, maintaining adequate foreign exchange reserves can provide a buffer against exchange rate volatility.

Monetary policy should also take into account the impact of oil prices on inflation and exchange rates. Central banks may need to adjust interest rates to stabilise the economy in response to oil price shocks.

48.3 Implications for the United Kingdom

The United Kingdom presents a unique case due to its hybrid economic structure. The moderate relationship between oil prices and the GBP suggests that financial market dynamics play a significant role in exchange rate determination.

For the UK, maintaining financial stability and managing capital flows are key priorities. Policymakers should also consider the implications of energy policy and the transition to renewable energy for exchange rate dynamics.

49 Implications for Investors and Financial Markets

The results of this study are also relevant for investors and financial institutions. Understanding the relationship between oil prices and exchange rates can provide valuable insights for investment decision-making and risk management.

For example, currencies of oil-exporting countries may be used as a hedge against oil price increases. Conversely, investors in oil-importing countries may need to manage the risks associated with currency depreciation.

The findings also highlight the importance of monitoring global economic conditions and geopolitical developments, as these factors can influence both oil prices and exchange rates.

50 Limitations of the Study

While this study provides valuable insights, several limitations must be acknowledged.

First, the use of annual data limits the number of observations and may not capture short-term fluctuations in oil prices and exchange rates. Future research could use higher-frequency data to provide more detailed insights.

Second, the analysis focuses primarily on oil prices and exchange rates, without explicitly including other macroeconomic variables such as interest rates, inflation, and capital flows. These variables may play a significant role in exchange rate determination.

Third, the study assumes a linear relationship between oil prices and exchange rates, which may not fully capture the complexity of the relationship. Nonlinear models could provide a more accurate representation.

Finally, the presence of structural breaks and external shocks, such as financial crises and geopolitical events, may affect the stability of the relationship over time.

51 Recommendations for Future Research

Based on the limitations identified above, several directions for future research can be proposed.

First, future studies could incorporate additional macroeconomic variables to provide a more comprehensive analysis of exchange rate dynamics.

Second, the use of high-frequency data, such as monthly or daily observations, could provide insights into short-term dynamics and improve the accuracy of econometric models.

Third, nonlinear models and machine learning techniques could be used to capture the complex and dynamic nature of the oil–exchange rate relationship.

Fourth, future research could explore the impact of renewable energy and the global energy transition on exchange rates. As the importance of oil declines, new factors may emerge as key drivers of currency movements.

Finally, comparative studies across different regions and time periods could provide a deeper understanding of the factors that influence the oil–exchange rate relationship.

52 Final Conclusion

In conclusion, this dissertation has provided a comprehensive analysis of the relationship between crude oil prices and exchange rates. The findings con-

firm that oil price fluctuations have significant and asymmetric effects across economies, with oil-exporting countries experiencing currency appreciation and oil-importing countries facing depreciation pressures.

The study highlights the importance of economic structure, financial markets, and global economic conditions in shaping this relationship. It also underscores the need for policymakers and investors to consider the impact of oil price volatility in their decision-making processes.

As the global economy continues to evolve, particularly with the transition towards renewable energy, the relationship between oil prices and exchange rates is likely to change. Understanding this evolving dynamic will remain an important area of research in international economics.

53 Closing Statement

This research has demonstrated that while traditional economic theories provide a useful framework for understanding the oil–exchange rate relationship, modern developments such as financialisation and globalisation require a more nuanced and dynamic approach. The insights gained from this study contribute to a deeper understanding of this complex relationship and provide a foundation for future research.

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Data Sources

The dataset used in this study was obtained from the following publicly available sources:

- Brent Crude Oil Prices: Federal Reserve Economic Data (FRED) **Link:** https://fred.stlouisfed.org/series/DCOILBRENTEU
- USD/GBP Exchange Rate **Link:** https://fred.stlouisfed.org/series/DEXUSUK
- USD/INR Exchange Rate **Link:** https://fred.stlouisfed.org/series/DEXINUS
- USD/JPY Exchange Rate **Link:** https://fred.stlouisfed.org/series/DEXJPUS
- USD/CAD Exchange Rate **Link:** https://fred.stlouisfed.org/series/DEXCAUS
- USD/NOK Exchange Rate **Link:** https://fred.stlouisfed.org/series/DEXNOUS

All data were converted into annual averages and transformed into logarithmic form before analysis.

Python Code for Econometric Analysis

```
import pandas as pd
import numpy as np
import statsmodels.api as sm
from statsmodels.tsa.api import VAR
from statsmodels.tsa.stattools import adfuller, grangercausalitytests

# Load dataset
data = pd.read_csv("oil_fx_data.csv")

# Log transformation
data_log = np.log(data)

# First difference
data_diff = data_log.diff().dropna()

# ADF Test
for col in data_diff.columns:
    result = adfuller(data_diff[col])
    print(col, result[1])

# Regression
X = sm.add_constant(data_diff['Oil'])
y = data_diff['INR']
model = sm.OLS(y, X).fit()
print(model.summary())

# VAR Model
var_model = VAR(data_diff[['Oil', 'INR']])
var_results = var_model.fit(2)
print(var_results.summary())

# Granger Causality
grangercausalitytests(data_diff[['INR','Oil']], maxlag=2)
```

Variable Description

Reproducibility Statement

All data used in this study are publicly available and can be accessed through the links provided in Appendix A. The analysis was conducted using Python, and the full code is provided in Appendix B.

The results presented in this dissertation can be replicated by following these steps:

1. Download data from FRED

Variable	Description	Unit
Oil	Brent crude oil price	USD per barrel
GBP/USD	Pound per USD	Exchange rate
INR/USD	Rupee per USD	Exchange rate
JPY/USD	Yen per USD	Exchange rate
CAD/USD	Canadian dollar per USD	Exchange rate
NOK/USD	Norwegian krone per USD	Exchange rate

Table 6: Variables Used in the Study

2. Convert to annual frequency
3. Apply log transformation and differencing
4. Run regression, VAR, and Granger tests

This ensures transparency and reproducibility of the research findings.